

L&T Technology Services Limited

Engineering Services · Engineering, Research & Development · National Stock Exchange of India Limited, BSE Limited · LTTS

REPORT TYPE

REPORT DATE

Q2FY26

October 17, 2025

REVENUE	NET INCOME	EBIT MARGIN	FINANCIAL TABLES
29,795	3,287	13.4%	4
Q2 FY26 · INR	Q2 FY26	Q2 FY26	Extracted

01 Executive Summary

L&T Technology Services reports 16% YoY growth in Q2FY26 with Record High Large Deal TCV of ~USD 300 Mn

L&T Technology Services Limited announced its results for the second quarter ended September 30, 2025, reporting revenue of ₹29,795 million (up 15.8% YoY) and net profit of ₹3,287 million (up 2.8% YoY). The company achieved a record high large deal TCV of near-USD 300 million and maintained its medium-term outlook of USD 2 billion revenue.

- Revenue of ₹29,795 million, up 15.8% YoY and 4.0% QoQ.
 - Net profit of ₹3,287 million, up 2.8% YoY and 4.1% QoQ.
 - Interim Dividend of ₹18 per share; record date October 27, 2025.
- Record high large deal TCV of near-USD 300 million in the quarter.
 - EBIT margin stood at 13.4% with EBIT of ₹3,982 million.
 - Sustainability segment achieved double-digit annual growth of 12.6% YoY.

02 Executive Summary

L&T Technology Services (LTTS) delivered a strong second quarter for FY26, characterized by a record large deal Total Contract Value (TCV) of approximately USD 300 million. Revenue reached ₹29,795 million, registering a growth of 15.8% YoY and 4.0% QoQ. Net profit stood at ₹3,287 million, growing by 4.1% sequentially. The Board has declared an interim dividend of ₹18 per share.

03 Business Overview

LTTS operates across three core segments: Mobility, Sustainability, and Tech. In Q2FY26, the Sustainability segment showed strong momentum, growing 3.0% QoQ and 12.6% YoY, and now has a USD 50 million account on an annual run-rate basis. The Tech segment grew 28.6% YoY, remaining highly resilient. Mobility declined by 10.1% YoY and 1.4% QoQ. Geographically, North America remains the largest contributor with 54.7% of revenues, followed by India (21.5%) and Europe (17.3%).

04 Management Commentary

CEO & Managing Director Amit Chadha highlighted the continuation of strong large deal momentum and the deployment of an AI-first delivery model. Investments in Gen AI, Agentic AI, and Physical AI are consolidating LTTS's leadership, with 1% of trailing 12-month revenue now coming from licenses of platforms like Qguard.ai and FusionWorld.ai. The company expects improvements in both revenue and EBIT margins in H2 compared to H1 of FY26, and maintains its medium-term USD 2 billion revenue target.

05 Consolidated Income Statement (Amount in ₹ million)

Metric	Q2 FY25	Q1 FY26	Q2 FY26	QoQ	YoY
Revenue	25729	28660	29795	4.0%	15.8%
Cost of sales	18192	20625	21462	—	—
Gross Profit	7537	8035	8333	3.7%	10.6%
Selling, General & Administration Expenses	2877	3411	3425	—	—
EBITDA	4660	4624	4908	6.1%	5.3%
Depreciation & Amortisation	783	811	926	—	—
EBIT	3877	3813	3982	4.4%	2.7%
Other Income, net	531	512	498	—	—
Income tax expense	1208	1164	1188	—	—
Minority Interest	4	4	5	—	—
Net Income	3196	3157	3287	4.1%	2.8%
Gross Margin	29.3%	28.0%	28.0%	—	—
EBITDA Margin	18.1%	16.1%	16.5%	—	—
EBIT Margin	15.1%	13.3%	13.4%	—	—
Net Income Margin	12.4%	11.0%	11.0%	—	—
Basic EPS (INR)	30.2	29.81	31.02	—	—
Diluted EPS (INR)	30.12	29.77	30.97	—	—

06 Consolidated Balance Sheet (Amount in ₹ million)

Line Item	FY25	Q2 FY26
Property and equipment	9063	9362
Intangible Assets and Goodwill	13667	13673
Accounts Receivable	29165	31987
Unbilled Revenues	5953	6838
Investments	13096	13846
Cash and Cash equivalents	15658	14918
Other current assets	4262	3841
Other non-current assets	5571	2851
Total Assets	96435	97316
Shareholders' Funds	60800	61890
Other current liabilities	29900	28670
Other non-current liabilities	5560	6572
Minority Interest	175	184
Total Liabilities and Equity	96435	97316

07 Consolidated Cash Flow Summary (Amount in ₹ million)

Metric	FY25	YTD FY26
Net cash provided by operating activities	14811	4809
Less: Capex	1018	643
Free Cash Flow	13793	4166
Free Cash Flow to Net Income (%)	109%	65%

08 Revenue Share by Business Segment

Segment	Q2 FY25	Q1 FY26	Q2 FY26	QoQ Growth	YoY Growth
Mobility	35.5%	29.6%	29.0%25	-1.4%	-10.1%
Sustainability	30.8%	30.8%	31.6%	3.0%	12.6%
Tech	33.7%	39.6%	39.4%	0.1%	28.6%

09 Financial Trends

